TRANSFER PRICING GPS SDN BHD
202301049542 (1543456-H)

INSERT CLIENT'S COMPANY LOGO

COMPANY NAME
COMPANY BUSINESS REGISTRATION NUMBER
COMPANY TAX INDENTIFICATION NUMBER
MINIMUM TRANSFER PRICING DOCUMENTATION
FOR FINANCIAL YEAR ENDED
30 JUNE 2024

Issuance Date:
24 JUNE 2025

STRICTLY PRIVATE AND CONFIDENTIAL

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This Documentation has been prepared according to the requirements in Paragraph 4(2)(a), (b) and (c) of the Transfer Pricing Rules 2023[1] as outlined below:

SCHEDULE 1 [Paragraph 4(2)(a)]

Schedule 1 is not applicable to [COMPANY NAME] as the company primarily engages in local transactions and does not have any cross-border controlled transactions, and hence exempted from certain transfer pricing documentation requirements.

SCHEDULE 2 [Paragraph 4(2)(b)]

Requirements in TP Rules 2023		Reference
SCHEDULE 2 ***Paragraph 4(2)(b)***		
Business Information **For the purposes of paragraph 4(2)(b), information regarding a person's business shall include transactions with its associated person in a basis period in which the controlled transactions are entered into, and the following information:**		
a)	**Organisational Structure:**	
(i)	The person's worldwide organisational and ownership structure (including global organization chart & significant changes in the relationship, if any), covering all associated persons whose transactions directly or indirectly affect the pricing of the transactions between associated persons;	Section 2
(ii)	A description of the management structure of the person's business including the reporting lines between the management of the person's business and its associated person and a description of the individuals to whom the management of the person's business reports to and the countries in which such individuals maintain their principal offices; and	
(iii)	A local organization chart of the local entities with information on the head of departments (including whether they are expatriates or local citizens) and number of employees in each department, as at the end of the basis period.	

[1] https://www.hasil.gov.my/media/bksd1zsm/pua165_2023-tp-rule-2023.pdf

Requirements in TP Rules 2023		Reference
SCHEDULE 2 ***Paragraph 4(2)(b)***		
b)	**Nature of the business, industry and market conditions**	
(i)	A description of the person's business models and strategies, products and services, intensity and dynamics of the relevant competitive environments, competitors and geographic markets;	Section 2
(ii)	Outline of the person's business including relevant recent history, the industries and market in which the person operates, description and analysis of the economic condition and legal or regulatory issues affecting the business and industry;	
(iii)	A detailed description of the business and business strategy pursued by the local entity including an indication whether the local entity has been involved in or affected by business restructurings, acquisitions or transfers of intangible property in the present or in the immediate preceding year and an explanation of those aspects of such transactions affecting the local entity; and	
(iv)	The corporate business plans to the extent of providing an insight into the nature and purpose of the relevant transactions between associated persons.	
c)	**The controlled transaction**	
(i)	A description of details of the property or services to which the international or domestic transaction relates, any intangible property or rights attached thereto, the participants, the scope, timing, frequency, type and value of the controlled transactions (including all relevant dealings between associated persons in relevant geographic markets);	Section 3
(ii)	The identity of all associated persons including name and address of the associated person, the country in which the associated person is incorporated and registered or established, with details of the relationship with each such associated person;	
(iii)	The nature, terms (including prices) and conditions, the quantum and value of each transaction entered into with each associated person;	
(iv)	An overview description of the business, as well as a functional analysis of all associated persons with whom the person has transacted;	

Requirements in TP Rules 2023		Reference
SCHEDULE 2 ***Paragraph 4(2)(b)***		
(v)	All valid contract or commercial agreements setting forth the terms and conditions of transactions with associated person as well as with third parties; and	
(vi)	A record of any forecasts, budgets or any other financial estimates prepared by the person for the business as a whole and for each division or product separately.	
d)	**Details of the pricing policies for each type of controlled transaction including—**	
(i)	The formula adopted, including anticipated profit margin or mark-up and cost component;	Section 3
(ii)	The manner the formula is applied;	
(iii)	Person who determines the pricing policy;	
(iv)	The frequency the policy is being revised;	
(v)	Sample of documents to support the pricing policy;	
(vi)	Comparability study to ensure the arm's length price; and	
(vii)	The effect of the material changes to its pricing policy (if any).	
e)	**Assumption, strategies and information regarding factors that influence the setting of pricing policies which may include—**	
(i)	Relevant information regarding business strategies and special circumstances at issue, for example, intentional set-off transactions, market share strategies, distribution channel selection and management strategies that influenced the determination of transfer prices;	Section 3
(ii)	Assumptions and information regarding factors that influenced the setting of prices or the establishment of any pricing policies for the person and its group of associated persons as a whole; and	
(iii)	Documents to support material factors that could affect prices or profits in arm's length dealings.	
f)	**Functional, asset and risk analysis including the risk analysis framework;**	
(i)	A description of the characteristics of the property or service transferred, functions performed, assets employed, evaluation on management, allocation, and assumption of risks (based on the risk analysis framework), terms and conditions of the contract, business strategies pursued, economic circumstances and any other special circumstances; and	Section 4

Requirements in TP Rules 2023		Reference
	SCHEDULE 2 ***Paragraph 4(2)(b)***	
(ii)	Information on functions performed (taking into account assets used and risks assumed) by the associated person involved in the controlled transaction as well as a description of the functions, assets and risks of the associated person to the extent that they affect or are affected by the controlled transaction carried out by the person.	
g)	**Comparability analysis;**	
(i)	The name of tested party or tested transaction selected and basis for its selection;	Section 5 and Appendix F
(ii)	The data collected including the list and description of potential comparables and the analysis performed to evaluate comparability of uncontrolled transactions with the relevant controlled transaction. The analysis should compare the conditions including the five economically relevant characteristics made for the transactions between associated persons with those made between independent persons under comparable circumstances;	
(iii)	Details of comparables including— • A list and description of selected comparable companies or transactions; • For tangible property (if applicable), its physical features and quality availability; • For services (if applicable), the nature and extent of the services; • For intangible property (if applicable), the form of the transaction, the type of intangible property, the rights to use the intangible property that are assigned and the anticipated benefits from its use; • Financial information of the comparables;	
(iv)	The basis and criteria used in the selection of comparables including qualitative details and quantities screenings and economic considerations;	
(v)	Identification of any internal comparables;	
(vi)	Information and documents to support any adjustments made to the comparables which may include—	

Requirements in TP Rules 2023		Reference
	SCHEDULE 2 ***Paragraph 4(2)(b)***	
	• Analysis to support the result of adjustments made that will increase the reliability of the comparability between the tested party and comparable; • Reasons for the adjustments; • Any assumptions made; • Computation for the adjustments made;	
(vii)	Where applicable, the aggregation analysis (grouping of transactions for comparability) and reasons for aggregations of transactions.	
h)	**Selection of the transfer pricing methodologies;**	
(i)	The method selected and basis for its selection;	Section 5
(ii)	Description of data and methods considered, the analysis performed to determine the arm's length price and the rationale for the selection of the method including reasons for its use in preference to other transfer pricing methodologies; and	
(iii)	Documentation of the process involved in the selection and application of the particular method.	
i)	**Application of the transfer pricing methodologies**	
(i)	Documentation of assumptions and decisions made in the course of determining an arm's length outcome based on the functional, asset and risk analysis in paragraph (f) and comparability analysis in paragraph (g);	Section 5
(ii)	A list and description of the selected comparable uncontrolled transactions (internal comparable or external comparable), and information on relevant financial indicators relied on in the transfer pricing analysis, including a description of the comparable search methodology and the source of such information;	
(iii)	Documentation of all calculations made in applying the selected method, and of any adjustment factors, in respect of both the tested party and the comparable;	
(iv)	A description of the reasons for concluding that relevant transactions were priced on an arm's length basis based on the application of the selected transfer pricing methodology;	

Requirements in TP Rules 2023		Reference
SCHEDULE 2 ***Paragraph 4(2)(b)***		
(v)	A summary of financial information used in applying the transfer pricing methodology;	
(vi)	Appropriate updates of prior year documentation relied upon in the current year to reflect adjustments for any material changes in the relevant facts and circumstances;	
(vii)	A list of unilateral advance pricing arrangement and bilateral advance pricing arrangement entered into by entity in the group of the associated persons with respect to the transactions to which the person is involved in; and	
(viii)	Documentation which become the foundation for support, or were referred to, in the development of the transfer pricing analysis.	
j)	**Financial information:**	
(i)	The local entity's annual financial statements for the financial year concerned and if audited statements exist, they shall be furnished and if not, existing unaudited statements shall be furnished;	Appendix G
(ii)	Information and allocation schedule showing how the financial data used in applying the transfer pricing methodology may be tied to the annual financial statements; and	
(iii)	Summary schedules of relevant financial data for comparables used in the analysis and the sources from which that data was obtained.	

SCHEDULE 3 [Paragraph 4(2)(c)]

Schedule 3 is not applicable to [COMPANY NAME] as the Company does not participate in Cost Contribution Arrangement ("CCA").

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APPENDICES

Appendix	Description
Appendix A	The Group Shareholding Structure as at 30 June 2024
Appendix B	Detailed history and profile
Appendix C	Detailed organizational chart as at 30 June 2024
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Appendix E.1 to Appendix E.5	
Appendix E.6 and Appendix E.7	
Appendix F	
Appendix G	

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1. EXECUTIVE SUMMARY

1.1 PURPOSE

The Income Tax (Transfer Pricing) Rules 2023 and the Malaysian Transfer Pricing Guidelines 2024 require companies to assess their transfer prices and determine if their inter-company pricing is at arm's length from a Malaysian Transfer Pricing standpoint.

The issuance of the Income Tax (Transfer Pricing) Rules 2023 and the Malaysia Transfer Pricing Guidelines 2024 requires companies to comply with a tighter transfer pricing compliance from the year of assessment ("YA") 2023 onwards.

As such, [COMPANY NAME] ("XXXSB" or "the Company") has prepared Transfer Pricing Documentation ("TPD") in order to test if its key related party transaction i.e. Purchase from XXX has been conducted at arm's length for the financial year ended ("FYE") 30 June 2024 ("period under review").

1.2 TRANSFER PRICING RULES AND LEGISLATION

Transfer pricing in Malaysia is governed primarily by the Income Tax Act 1967, Section 140A, and the Income Tax (Transfer Pricing) Rules 2023 ("Transfer Pricing Rules 2023"). These regulations ensure that transactions between associated enterprises are conducted at arm's length, meaning they are priced as if the parties were unrelated or independent entities. The Inland Revenue Board of Malaysia ("IRBM") has the authority to adjust transfer prices that do not comply with the arm's length principle.

IRBM has also issued the Malaysia Transfer Pricing Guidelines 2024 ("TP Guidelines 2024") on 24 December 2024 that provides guidance for persons involved in the transfer pricing arrangements to operate in accordance with the methods and manner as provided in the Transfer Pricing Rules 2023, as well as comply with administrative requirements of the IRB on the types of records and documentation to maintain.

The Transfer Pricing Rules 2023 provides detailed guidelines on how to determine and document transfer pricing. Companies are required to maintain Contemporaneous Transfer Pricing Documentation ("CTPD"), which includes organizational structure, transaction descriptions, transfer pricing methods used, and comparability analyses. This documentation must be prepared before the tax filing due date to avoid penalties.

Additionally, the Transfer Pricing Rules 2023 outlines acceptable transfer pricing methodologies, such as the Comparable Uncontrolled Price ("CUP"), Resale Price Method ("RPM"), and Cost Plus Method ("CPM"). There are stringent penalties for non-compliance, including fines and imprisonment. Country-by-Country Reporting ("CbCR") requirements also apply to multinational enterprises with consolidated group revenue exceeding RM3 billion, aimed at enhancing transparency and providing tax authorities with a comprehensive view of a multinational's global operations.

1.3 LIMITATION AND DISCLAIMER

- We have relied on the Income Tax Act 1967, Transfer Pricing Rules 2023 and the TP Guidelines 2024 issued by the IRBM when preparing this Report.

- This Report has been prepared based solely on the information and representations obtained from the Management and other publicly available information. We have relied on representations and documentation (including the audited financial statements and tax returns) provided by the Management.

- We have not audited or reviewed the information and has accepted this information to be reliable and accurate.

- Hence, no representation or warranty, either expressed or implied, as to the accuracy of the source material is intended or should be implied on the part of us by this company or any party who may gain access to this Report through any means, legal or otherwise.

- [COMPANY NAME] is required to review this Report to confirm that there are no material misunderstanding or misrepresentation of facts gathered during the preparation of this Report. The responsibility for the accuracy of the facts contained in this Report rests with [COMPANY NAME].

- This Report should not be taken as an assurance of the acceptance by the relevant tax authority. The analysis contained (including comparability analysis) in this Report is not binding on the tax authority and should not be considered as an assurance that the tax authority will necessarily agree with our conclusion or that [COMPANY NAME] will prevail if a contrary position is adopted by the tax authority.

- Lastly, this Report is solely intended for [COMPANY NAME] and may not be reproduced, altered in any way, transmitted to, copied or distributed to any other party in whole or in part in any form or manner without the prior express written consent of us.

- We nor any of its affiliates or its related persons shall be liable in any manner whatsoever for any consequences (including but not limited to any direct, indirect or consequential losses, loss of profits and damages) of any reliance thereon or usage thereof.

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1.4 APPROACH

In preparing this TPD, we have performed an interview with relevant personnel of COMPANY NAME, briefly assessing the functions performed, assets employed, and risks assumed. Based on this analysis, we evaluated the appropriateness of various transfer pricing methodologies and selected the most appropriate method to assess the arm's length nature of the Company's related party transactions. Following the selection of the appropriate method, we conducted a local benchmarking analysis. Based on the overall TPD, including the benchmarking results, we provided our comments on the arm's length nature of the Company's RPTs for FYE 30 June 2024.

1.5 TAXPAYER'S RESPONSIBILITY

Taxpayers are required to keep sufficient records for a period of seven years from the end of the year to which income from the business relates. In this context, taxpayers are expected to maintain contemporaneous documentation.

A person who enters into a controlled transaction shall prepare a contemporaneous transfer pricing documentation which is brought into existence prior to the due date for furnishing a return in the basis period for a year of assessment in which a controlled transaction is entered into.

Documentation is deemed to be contemporaneous if it is prepared:

(a) Prior to the due date for furnishing a return in the basis period for a year of assessment in which a controlled transaction is entered into;
(b) Consist of information of the Multinational Enterprise Group as specified in Schedule 1;
(c) Consist of information regarding the person's business as specified in Schedule 2;
(d) Consist of information and documents regarding a cost contribution arrangement under rule 10 as specified in Schedule 3;
(e) index to documents prepared under this rule;
(f) Consist of the date on which the contemporaneous transfer pricing documentation is completed;
(g) any documents which
    - become the foundation for the development of the transfer pricing analysis;
    - support the development of the transfer pricing analysis; or
    - were referred to in the development of the transfer pricing analysis; and P.U. (A) 165;
(h) any information, data or other related documents used by the person entering into the controlled transaction to determine an arm's length price under rule 6, including the effect of the material changes to the business conditions during the basis period.
(i) Where any of the information, data or other related documents required under subrule (2) of Transfer Pricing Rules 2023 is not applicable to the person who enters into a

controlled transaction, the person shall indicate the non-applicability of the information, data or documents in the contemporaneous transfer pricing documentation.

(j) Transfer pricing documentation is not required to be submitted with the annual return form, but should be made available to the IRB within 14 days upon request.

1.6 KEY RELATED PARTY TRANSACTION

COMPANY NAME purchased custom cabinet carcass and relevant components (pre-assembled) from its related party, XXX Sdn Bhd. Subsequently, ACDSB provided interior decorations and installation services to its third party customers.

Key related party transaction	Brief descriptions
Related Party Purchase	This refers to the purchase of custom cabinet carcass and relevant components (pre-assembled) under the "XXX" brand name from its related party, XXX Please refer to Section 3.1 of this Report for the details of this transaction.

1.7 APPLICATION OF TRANSFER PRICING METHOD

The Transactional Net Margin Method ("TNMM") has been selected as the most appropriate transfer pricing method to test the arm's length nature of the related party transactions between COMPANY NAME and XXX. This selection is based on the availability of reliable financial data for independent companies performing comparable functions while bearing similar risks and utilising similar assets.

A benchmarking update was conducted to identify independent Malaysian companies engaged in broadly similar business activities. The financial information was sourced from publicly available records, including the Companies Commission of Malaysia ("CCM") and online sources.

Following a thorough functional analysis and the application of qualitative and quantitative selection criteria, a final set of eleven (11) independent companies was selected as comparables.

The financial data of these companies was compiled and analysed to derive an arm's length range of results of the comparable companies, which formed the basis for evaluating the controlled transactions.

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1.8 SUMMARY OF THE RESULTS

Given that COMPANY NAME was principally engaged in the business of interior decorations, the Company was selected as the tested party and the Return on Sales ("ROS") was selected as the most appropriate Profit Level Indicator ("PLI") to be applied.

Based on the analysis of the financial results of independent comparable companies, it is concluded that an independent entity undertaking activities in a manner that is broadly similar to the activities undertaken by COMPANY NAME would derive the following arm's length range of results of comparable companies for FY 2024.

MOTC	**Financial period from 31 December 2023 to 30 November 2024**
No. comparable companies	11
Tested Party	**FY 30 June 2024**
COMPANY NAME	**4.40%**
62.5 percentile	**5.15%**
Median[2]	**3.75%**
37.5 percentile	**2.34%**

Based on the year-on-year analysis above, COMPANY NAME's ROS result falls within the arm's length range derived from the financial results of comparable independent companies for the FY 2024.

As such, the related party transactions undertaken by COMPANY NAME during the year are considered to be in compliance with the arm's length principle as required under the TP Guidelines 2024, Transfer Pricing Rules 2023 and Section 140A of the Income Tax Act 1967.

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[2] Median refers to midpoint of 37.5 and 62.5 percentiles.

2. BUSINESS OVERVIEW

2.1 GROUP OWNERSHIP STRUCTURE

The Group Shareholding Structure as at 30 June 2024 is appended in **Appendix A**.

Basically, the Group of Companies are controlled by common shareholders i.e. Boo Wai Ping, Pah Pin Shang, Leong Chee Wei, Soh Shiang Long and Lai Yuh Yam.

The principal activities of the tested party and the related parties are as follows:

No.	Entities	Principal Activities	Shareholders	Country
1.			✓	
2.			✓	
3.			✓	
4.			✓	
5.			✓	
6.			✓	
7.			✓	
8.			✓	
9.			✓	
10.			✓	

2.2 GROUP OVERVIEW

The detailed history and profile is appended in **Appendix B**.

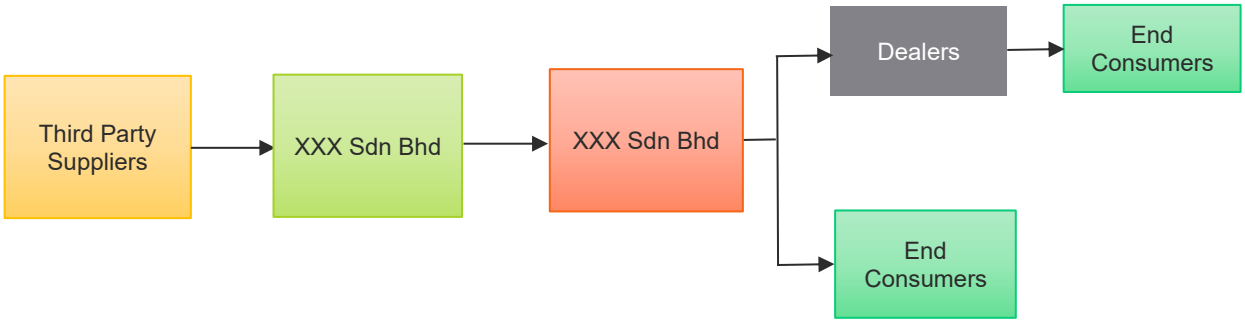
2.3 COMPANY OVERVIEW

COMPANY NAME is a Malaysia-based cabinet design and carpentry company, incorporated on 21 February 2023, principally engaged in business of interior decorations.

The Company specializes in custom cabinetry solutions for residential and commercial spaces, encompassing services such as consultation, design, manufacturing, and installation.

2.4 TRANSACTIONAL FLOW OF THE GROUP

COMPANY NAME is principally engaged in business of interior decorations. The Company purchases custom cabinet carcass and relevant components (pre-assembled) under the "XXX" brand name from its related party, XXX Sdn Bhd and subsequently provides interior decorations and installation services to dealers and retailers.



2.5 LOCAL ORGANIZATIONAL CHART

As at 30 June 2024, COMPANY NAME has a total number of 37 employees. The breakdown of employee headcount based on the main department for the period under review.

Departments	Headcount (Local)	Headcount (Expatriate)	Name of Head of Department
Management	3	-	
Operation*	13	2	
Sales	9	-	
Marketing	5	-	
Accounts	2	-	
Design	3	-	
Total	**35**	**2**	

**Two foreigners are from third party agency.*

The detailed organizational chart as at 30 June 2024 is appended in **Appendix C**.

2.6 BUSINESS MODEL

COMPANY NAME runs a hybrid B2C and B2B model, offering eco-friendly custom cabinetry for homeowners. With in-house manufacturing, multiple showrooms, and a focus on personalized design and sustainable materials, the Company delivers end-to-end services from consultation to installation. Its growth is driven by Eco-conscious branding, trusted workmanship, and strong partnerships, positioning it as a reliable SME in Malaysia's cabinetry and interior design market.

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2.7 BUSINESS STRATEGY

COMPANY NAME adopts a business strategy focused on eco-friendly differentiation, customized solutions, and strategic showroom expansion. The Company's approach to showroom growth and product diversification enables direct customer engagement while promoting healthy, personalized home solutions.

2.8 BUSINESS RESTRUCTURING

COMPANY NAME has not undergo any business restructuring exercise during the period under review.

2.9 MAIN SUPPLIERS

COMPANY NAME predominantly purchased custom cabinet carcass and relevant components (pre-assembled) from its related party supplier i.e. XXX Sdn Bhd. Besides, COMPANY NAME also purchased quartz stone and porcelain from Four Seasons Stone Sdn Bhd and received lamination services from Yen Creative Sdn Bhd.

Related / Third Party	Suppliers	Country	Products Purchased/ Service Received	Amount (RM)
Related Party		Malaysia	Custom cabinet carcass and relevant components (pre-assembled)	4,276,107
		Malaysia	Quartz stone, porcelain	497,602
		Malaysia	Lamination services	61,933
Third Party		Malaysia	Furniture hardware (e.g.: metal box drawer slide, pull out tray, etc)	742,922
		Malaysia	Aluminium cabinet carcass & glass	670,869

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3. CONTROLLED TRANSACTION

3.1 RELATED PARTY PURCHASE

Related Party	Product Purchased/ Services Received	FY 30 June 2024
		RM
	Custom cabinet carcass and relevant components (pre-assembled)	
	Quartz stone, porcelain	
	Lamination services	
	Cabinets	
	SPC flooring services	
	Furniture	
	Total Related Party Purchases	**4,892,439**
	Total Purchases	**7,053,724**
	% of Related Party Purchases / Purchases	**69.36%**

Based on the above, the related party purchase accounted of 69.36% of total purchase.

COMPANY NAME predominantly purchases custom cabinet carcass and relevant components (pre-assembled), under the "XXX" brand name, from its related party, XXX Sdn Bhd and subsequently provides interior decorations and installation services to dealers and retailers.

3.1.2 PRICING POLICY

The details of pricing policy for the related party purchase is summarized as follows:

Aspects	Details of Pricing Policy
Formula Adopted and Its Application	The purchase price of custom cabinet carcass & relevant components (pre-assembled) from XXX Sdn Bhd is calculated based on a cost plus an anticipated profit margin. The pricing policy is illustrated below: Material Costs (A) + Direct Overhead (B) + Direct Labour Cost (C) + Mark-Up (D) = Selling Price "**A**" is the total cost of raw materials required to manufacture custom cabinet carcass and relevant components (pre-assembled).

Aspects	Details of Pricing Policy
	"**B**" is the cost relating to factory overhead costs and machine costs incurred in the course of the manufacturing process. "**C**" is the cost relating to labour wages, allowance, overtime, etc. "**D**" is the mark up applied to the total cost. The mark-up to be applied varies depending on the complexity of the cabinet.
Who determine the pricing policy	The pricing policy is formulated by **ABC**, a member of key management team at XXX Sdn Bhd. The policy is based on internal data analysis and market conditions to ensure it remains competitive and compliant.
How often the pricing policy being revised	The pricing policy is reviewed annually, with adjustments made if there are significant changes in XXX Sdn Bhd's costs. However, the core formula for setting the transfer price generally remains unchanged.

3.2 RELATED PARTY SALES

Related Party	Distribution Channels	Products Sold/ Service Rendered	FY 30 June 2024
			RM
	Dealer	Finished goods – Kitchen Cabinet, Shoe Cabinet, TV Console, Wardrobe, Display Cabinet	2,944,665
			2,092,174
		Installation of tall unit, wall unit, kitchen cabinet, etc.	88,229
		Installation of bar counter	2,914
		Sales of porcelain	1,000
		Total Related Party Revenue	**5,128,982**
		Total Revenue	**13,755,063**
		% of Related Party Revenue / Revenue	**37.29%**

COMPANY NAME mainly sells its finished goods, i.e. kitchen cabinet, shoe cabinet, TV Console, wardrobe, display cabinet to its related party dealers, A&F Furniture PLT and My Modern Kitchen PLT. The dealers will subsequently sell the cabinets to third-party retail customers. The detailed price list (both dealers and customers) is appended in **Appendix D**.

3.3 OTHER INCOME

Related Party	Details	FY 30 June 2024
		RM
	Design and merchant	10,466
	Merchant	906
	Total	**11,372**

COMPANY NAME received other income, XXX, which accounted for less than 1% of the total revenue.

3.4 EXPENSES PAID

Related Party	Details	FY 30 June 2024
		RM
	Sub con wages, administration, promotional & marketing, upkeep of showroom	573,218
	Rental of showroom, sub con wages, rental of motor vehicles, merchant charges, electricity, telephone & interest, electricity & water	543,343
	Advertisement, domain & website	362,796
	Rental of motor vehicles & telephone charges	66,380
	Transportation charges	5,490
	Upkeep of office & hostel	1,130
	Total Expenses Paid	**1,552,357**

COMPANY NAME paid administrative and other operating expenses such as sub con wages, administration, promotional & marketing expenses and utilities charges to its related companies.

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3.5 EXPENSES PAID ON BEHALF OF / (BY)

Related Party	Particulars	FY 30 June 2024
		RM
	Petrol & diesel, rental (showroom), contract staff, promotional & marketing expenses, company trip expenses, subscription fees, etc.	66,812
		24,433
		12,772
		14,256
		10,380
		7,839
		2,103
Total expenses paid on behalf of related party		**138,595**
	Transportation charges, upkeep of machinery, upkeep of office, toll and parking, printing and stationery	(31,836)
	Hardware and loose tools, telephone expenses, and capital expenditure.	(13,871)
Total expenses paid on behalf by related party		**(45,707)**

COMPANY NAME paid expenses on behalf of its related party in advance and subsequently charged back to its related party. The expenses include petrol & diesel, contract staff, promotional & marketing expenses, company trip expenses, subscription fees, etc.

3.6 RECEIPT OF ADVANCES

Related Party	FY 30 June 2024
	RM
	20,000
	4,050
	4,050
Total	**80,252**

COMPANY NAME receives advances from directors for working capital purposes.

3.7 PROVISION OF ADVANCES

Related Party	FY 30 June 2024
	RM
	102,243
	51,000
	50,000
Total	**203,243**

COMPANY NAME provides advances to its related companies for working capital purposes.

3.8 RENTAL PAID

Related Party	Types of Assets	Location	Rental Rate per Month	Purpose	FY 30 June 2024
					RM
			✓ June 2023 – June 2024 – RM10,000 per month	Office	130,000
			✓ Aug 2023 – Dec 2023 – RM8,000 per month ✓ Jan 2024 to June 2024 – RM9,000 per month	Showroom	94,000
			✓ June 2023 – Jul 2023 – RM1,500 per month	Showroom	3,000*
			✓ June 2023 – Dec 2023 – RM1,000 per month	Showroom	7,000
			June 2023 – June 2024 - RM1,500 per month per vehicle	Delivery of goods and post-installation services	39,000
			June 2023 – June 2024 - RM2,500 per month	Delivery of goods	32,500
			June 2023 – June 2024 - RM1,500 per month per vehicle	Post-installation services	19,500
				Total	**325,000**

**Note: Rental paid from COMPANY NAME XXX Sdn Bhd is not disclosed in Audited Financial Statements RPT section.*

<u>Rental of Office</u>

COMPANY NAME rented office buildings from its related party, XXX Sdn Bhd for its business operations, which is for office and showroom purposes.

Rental of Motor Vehicles

COMPANY NAME rented lorry and car from its related parties, XXX Sdn Bhd and XXX for delivery of goods and post-installation services.

Please refer to **Appendix E.1 to Appendix E.5** for a copy of the tenancy agreement between COMPANY NAME to XXX Sdn Bhd.

Please refer to **Appendix E.6 and Appendix E.7** for a copy of the rental agreement between COMPANY NAME to XXX.

3.9 ACQUISITION OF PPE

Related Party	Details	FY 30 June 2024
		RM
	Signage	10,890
	Hostel equipment	4,694
	Furniture & fittings	2,855
	Computer & software	2,000
	Total	**20,439**

COMPANY NAME purchased marketing tool, hostel equipment, furniture & fittings, computer & software for office use.

3.10 ACQUISITION OF PPE PAID ON BAHALF

Related Party	Details	FY 30 June 2024
		RM
	Renovation, furniture & fittings, office equipment, signage, plant & machinery, showroom display, electrical & wiring.	168,945
	Furniture & Fittings	53,907
	Total	**222,852**

XXX PLT & XXX Sdn Bhd paid the costs of acquisition of property, plant and equipment on behalf of COMPANY NAME.

3.11 COMMISSION PAID

Related Party	FY 30 June 2024
	RM
	32,748
	2,020
Total	**80,252**

COMPANY NAME paid commission to its related parties, XXX PLT and XXX PLT for selling of cabinets to end customers.

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4. FUNCTIONAL ANALYSIS

In transactions between two independent persons, compensation usually will reflect the functions that each person performs (taking into account assets used and risks assumed). Therefore, when delineating the controlled transaction and determining comparability between controlled and uncontrolled transactions or entities, a functional analysis is necessary. This functional analysis seeks to identify the economically significant activities and responsibilities undertaken, assets used or contributed, and risks assumed by the parties to the transactions. The analysis focuses on what the parties actually do and the capabilities they provide.

COMPANY NAME does not perform nor fund any research and development ("R&D") activities relating to the products it sells. This section of the Report summarized the functions performed, assets employed, and risks assumed ("FAR") of COMPANY NAME.

4.1 FUNCTIONS PERFORMED

Functions	Description
Management	Responsible for performing strategic management activities for the interior decoration and installation business.
Operations	Responsible for carrying out all stages required in the interior decoration and installation business
Sales & Marketing	Responsible for driving showroom-driven experiences, eco-friendly branding, and digital outreach to attract homeowners, while leveraging personalized consultation and partnerships to convert leads into long-term customers.
Design	Responsible for carrying out interior design activities required when selling customised cabinets to customers.
Accounts	Responsible for day-to-day business support operations.

4.2 ASSETS EMPLOYED

Along with an analysis of the functions, it is also relevant and useful to consider the assets employed by COMPANY NAME in the context of the key related party transaction i.e. Related Party Purchase. This analysis should consider the type of assets used, such as plant and equipment, the use of valuable intangibles, etc., and the nature of the assets used, such as the age, market value, location, property right protections available, etc.

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Tangible Assets

COMPANY NAME owned tangible fixed assets of RM719,512 (at costs) as at 30 June 2024. The breakdown of the tangible assets is as follows:

Types of Assets	RM
Motor vehicles	
Office equipment, furniture and fittings	
Renovation and electrical installation	
Signboards, display, tools and hostel equipment	
Total	

Trade intangibles

Trade intangibles refer to know-how, trade secrets and manufacturing processes that a company inherits throughout its lifetime operating in the business. COMPANY NAME does not own nor contribute in creation of any trade intangibles.

Marketing intangibles

Marketing intangibles refer to trademarks and trade names that are utilised in the exploitation of the products, customer lists, distribution channel, etc. COMPANY NAME only owns marketing intangibles in respect of customer lists and distribution channel. The Company does not own any brand name and trademark.

4.3 RISKS ASSUMED

In addition to an analysis of the FAR with respect to the key controlled transaction i.e. Related Party Purchase, it is also equally important to consider the risks assumed by the Company in the context of such transactions. In the open market, the assumption of increased risk will also be compensated by an increase in the expected return. Thus, the risk and the reward generally go together.

Therefore, controlled and uncontrolled transactions and entities are not comparable if there are significant differences in the risks assumed for which appropriate adjustments cannot be made. A functional analysis is incomplete unless the material risks assumed by the segment have been considered since the assumption or allocation of risks would influence the conditions of transactions between controlled entities.

Theoretically, in the open market, the assumption of increased risk must also be compensated by an increase in the expected return, although the actual return may or may not increase, depending on the degree to which the risks are actually realized.

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Risks	Particulars	High/ Medium/ Low / NIL
Investment Risk Investment risk is the chance that your investment will lose value or not perform as expected, potentially resulting in financial loss.	In this context, COMPANY NAME invest less than RM1 million in plant and machinery, therefore, the Company bears low risk.	Low
Inventory Risk Inventory risk is the risk that a company's stock of goods may become obsolete, damaged, stolen, or unsellable, leading to financial loss.	In this context, COMPANY NAME inventory is minimal, therefore, the Company bears low risk. Usually there is no inventory risk as inventory is owned by client	Low
Warranty Risk Warranty risk is the risk that a company will incur unexpected costs from having to repair, replace, or refund defective products under warranty obligations.	In this context, warranty risk is limited to post-delivery obligations only where defects can be directly attributed to manufacturing faults.	Low
Credit and Collections Risk Credit and collections risk is the risk that customers or clients will delay payments or fail to pay their outstanding invoices, leading to cash flow problems and potential financial losses for the business.	In this context, credit and collections risk is limited to the provision of interior decorations and cabinet installation services to third party clients only. COMPANY NAME manages this risk by carefully screening its clients' credit profiles and having in place a strict credit control policy.	Medium
Foreign Exchange Risk Foreign exchange risk is the potential for financial loss due to fluctuations in exchange rates when transactions, investments, or operations involve multiple currencies.	Since all transactions are conducted exclusively in Malaysian Ringgit ("MYR"), the Company is effectively insulated from foreign exchange risk due to the absence of currency exposure.	NIL

Based on the analysis above, ACSMSB can be characterized as **limited risk distributor** that undertakes relevant business risks with respect to its operations.

5. COMPARABILITY ANALYSIS

Given that COMPANY NAME was principally engaged in the business of interior decorations, the Company was selected as the tested party and the Return on Sales ("ROS") was selected as the most appropriate Profit Level Indicator ("PLI") to be applied.

Based on the analysis of the financial results of independent comparable companies, it is concluded that an independent entity undertaking activities in a manner that is broadly similar to the activities undertaken by COMPANY NAME would derive the following arm's length range of results of comparable companies for FY 2024. A final set of eleven (11) independent companies, the comparability analysis and the summary of arm's length range of results of the comparable companies is appended in **Appendix F**.

MOTC	**Financial period from 31 December 2023 to 30 November 2024**
No. comparable companies	11
Tested Party	**FY 30 June 2024**
COMPANY NAME	**4.40%**
62.5 percentile	**5.15%**
Median[7]	**3.75%**
37.5 percentile	**2.34%**

Based on the year-on-year analysis above, COMPANY NAME's ROS result falls <u>within the arm's length range</u> derived from the financial results of comparable independent companies for the FY 2024.

As such, the related party transactions undertaken by COMPANY NAME during the year are considered to be in compliance with the arm's length principle as required under the TP Guidelines 2024, Transfer Pricing Rules 2023 and Section 140A of the Income Tax Act 1967.

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[7] Median refers to midpoint of 37.5 and 62.5 percentiles.